

Portfolio Update – 21st November 2025

Executive Summary

- **Tactical Asset Allocation:** Q4 Tactical Asset Allocation changes applied across Dynamic ETF and Active Portfolios.
- **Dynamic ETF Portfolio:** Updates across asset classes, resulting in 4 ETFs being removed, and 4 ETFs being added. We're taking the opportunity to reposition portfolios factoring in our tactical asset allocation outlook, whilst utilising a broader set of low-cost ETFs. Currently, the Dynamic ETF portfolios remain quartile one performers. Fundamentally, this remains a low turnover portfolio.
- **Active Portfolio:** Alceon Australian Property Fund exposure halved within the Real Assets Sleeve. Additionally, accumulated cash, derived from portfolio dividends and interest, has been reinvested into appropriate asset classes.

Tactical Asset Allocation Q4 2025

Below is a succinct update on our Tactical Asset Allocation decisions made as of the 30th of September (full report on portal).

- **Neutral Australian Shares:** Valuations remain elevated and earnings revisions uncertain, limiting near-term upside. Domestic growth is moderating, making risk-adjusted returns comparable to global peers.
- **Increased International Shares:** Europe and Asia offer improving earnings momentum and more attractive valuations. Whilst the US market remains supported by strong AI investment, and resilient technology earnings (despite strong capex spend). Asia is also benefitting from redirecting exports toward faster-growing regions, broadening the global growth outlook.
- **Increased Alternatives:** Uncorrelated drivers of return plus downside protection through exposure to private equity, currency, senior loans, absolute returns, options income, and gold.
- **Reduced Real Assets:** Strong gains in AREITs provide a natural point to trim, with comparatively better upside now available in Alternatives and Equities. Global Infrastructure has also performed well over the last quarter, whilst GREITs have lagged.
- **Modest increase to Duration:** Added modest duration exposure as yields stabilise, improving portfolio defensiveness without relying on further declines.

- **Neutral Floating Rate:** Income remains attractive given current elevated rates, though upside narrows as policy rates appear to be at or near the peak.

Dynamic ETF Portfolio Changes

Current - Dynamic 70 ETF Portfolio						New - Dynamic 70 ETF Portfolio						
APIR	Asset (Name		Proposed Weigh	ETF Fee	Weighted Fee	APIR	Asset C Name		Proposed Weigh	ETF Fee	Weighted Fee	Recommendation
Australian Shares						Australian Shares						
IOZ	AEQ	iShares Core S&P/ASX 200 ETF	23.8	0.05%	0.012	IOZ	AEQ	iShares Core S&P/ASX 200 ETF	23.8	0.05%	0.012	
International Shares						International Shares						
IVV	IEQ	iShares S&P 500 ETF	12.8	0.04%	0.005	IVV	IEQ	iShares S&P 500 ETF	17.1	0.04%	0.007	
VEQ	IEQ	Vanguard FTSE Europe Shares ETF	7.1	0.35%	0.025	VEQ	IEQ	Vanguard FTSE Europe Shares ETF	4.7	0.35%	0.016	
IJP	IEQ	iShares MSCI Japan ETF	1.6	0.50%	0.008	IJP	IEQ	iShares MSCI Japan ETF	1.7	0.50%	0.009	
VAE	IEQ	Vanguard FTSE Asia Ex-Japan Shares Index ETF	5.4	0.40%	0.022	VAE	IEQ	Vanguard FTSE Asia Ex-Japan Shares Index ETF	5.0	0.40%	0.020	
VGAD	IEQ	Vanguard MSCI Index International Shares (Hedged) ETF	6.7	0.21%	0.014	VGAD	IEQ	Vanguard MSCI Index International Shares (Hedged) ETF	0.0	0.21%		Remove
						VEU	IEQ	All Country ex US	1.7	0.09%	0.002	Add
						IHVV	IEQ	US Hedged	3.4	0.10%	0.003	Add
Real Assets						Real Assets						
BLK4709A	RA	iShares Wholesale Australian Listed Property Index Fund (S	4	0.10%	0.004	BLK4709AU	RA	iShares Wholesale Australian Listed Property Index Fund (	3.5	0.10%	0.004	
BLK9419A	RA	iShares Global Listed Property Index Fund (Hedged S Class)	3.5	0.15%	0.005	BLK9419AU	RA	iShares Global Listed Property Index Fund (Hedged S Class	4	0.15%	0.006	
VBLD	RA	Vanguard Global Infrastructure Index ETF	3.4	0.47%	0.016	VBLD	RA	Vanguard Global Infrastructure Index ETF	0	0.47%		Remove
						GLIN	RA	Global Infra Hedged	3.4	0.15%	0.005	Add
Alternatives						Alternatives						
GPEQ	ALTS	VanEck Global Listed Private Equity ETF	3	0.65%	0.020	GPEQ	ALTS	VanEck Global Listed Private Equity ETF	3	0.65%	0.020	
GLDN	ALTS	iShares Physical Gold ETF	3	0.18%	0.005	GLDN	ALTS	iShares Physical Gold ETF	3	0.18%	0.005	
Long Duration						Long Duration						
IAF	LD	iShares Core Composite Bond ETF	4	0.10%	0.004	IAF	LD	iShares Core Composite Bond ETF	5.7	0.10%	0.006	
AESG	LD	iShares Global Aggregate Bond ESG (AUD Hedged) ETF	3.9	0.19%	0.007	AESG	LD	iShares Global Aggregate Bond ESG (AUD Hedged) ETF	4.2	0.19%	0.008	
ILB	LD	iShares Government Inflation ETF	2	0.18%	0.004	ILB	LD	iShares Government Inflation ETF	0	0.18%		Remove
Floating Rate						Floating Rate						
FLOT	FR	VanEck Australian Floating Rate ETF	6.2	0.22%	0.014	FLOT	FR	VanEck Australian Floating Rate ETF	8	0.22%	0.018	
BHYB	FR	BetaShares Australian Major Bank Hybrids Index ETF	3.9	0.35%	0.014	BHYB	FR	BetaShares Australian Major Bank Hybrids Index ETF	0	0.35%		Remove
ISEC	FR	iShares Enhanced Cash ETF	3	0.12%	0.004	ISEC	FR	iShares Enhanced Cash ETF	2.1	0.12%	0.003	
						SUBD	FR	Aussie SUB Debt	3	0.29%	0.009	Add
Cash						Cash						
BILL	CASH	iShares Core Cash ETF	2.7	0.07%	0.002	BILL	CASH	iShares Core Cash ETF	2.7	0.07%	0.002	

- Proposed portfolio (right table) brings total estimated underlying ETF fee down to 15bps (from 18bps) whilst maintaining same growth exposure.
- Funds added and removed can be seen in the far-right column. Green rows = Add. Red rows = remove.

Real Assets - Active Portfolio Changes

Real Assets		55 Active	70 Active	85 Active	Total Portfolio
BLK4709AU	iShares Wholesale Australian Listed Property Index Fund (S Class)	2.13	2.56	1.75	24.27
BLK9419AU	iShares Global Listed Property Index Fund (Hedged S Class)	3.13	3.67	2.36	34.81
LAM0044AU	Alceon Australian Property Fund	1.27	1.51	0.98	14.35
TGP0016AU	Clearbridge RARE Infrastructure Income Fund (hedged)	2.12	2.56	1.75	24.27
CASH RA		0.20	0.24	0.16	2.30
		8.86	10.55	6.98	100.00

- See above new portfolio weights for Real Assets. Note we are actively reducing our exposure to Alceon Australian Property Fund.
- Reallocation of capital has occurred across remaining holdings, prioritising (BLK9419AU) iShares Global Listed Property Index Hedged S Class, from a valuation perspective.

Expanded Analysis

Australian Shares – Dynamic ETF

- No change.

Alternatives – Dynamic ETF

- No change

Real Assets – Dynamic ETF

Current - Dynamic 70 ETF Portfolio						New - Dynamic 70 ETF Portfolio								
APIR	Asset (Name		Proposed Weigh	ETF Fee	Weighted Fee		APIR	Asset C Name		Proposed Weigh	ETF Fee	Weighted Fee	Recommendation	
Real Assets							Real Assets							
BLK4709A	RA	iShares Wholesale Australian Listed Property Index Fund (S	4	0.10%	0.004		BLK4709AU	RA	iShares Wholesale Australian Listed Property Index Fund (	3.5	0.10%	0.004		
BLK9419A	RA	iShares Global Listed Property Index Fund (Hedged S Class)	3.5	0.15%	0.005		BLK9419AU	RA	iShares Global Listed Property Index Fund (Hedged S Class	4	0.15%	0.006		
VBLD	RA	Vanguard Global Infrastructure Index ETF	3.4	0.47%	0.016		VBLD	RA	Vanguard Global Infrastructure Index ETF	0	0.47%		Remove	
							GLIN	RA	Global Infra Hedged	3.4	0.15%	0.005	Add	

- Strong performing AREITs (Australian Real Estate Investment Trusts) provide a natural point to trim and reweight toward underweight GREITs (Global Real Estate Investment Trusts).
- (VBLD) Vanguard Global Infrastructure has been replaced with (GLIN) Global Infrastructure hedged exposure for the following reasons:
 - GLIN AUM A\$1.41bn vs VBLD A\$542m. Large scale reduces tracking error and improves liquidity.
 - GLIN's high utility weighting (52%) plus exposure to tower/data-centre infrastructure (American Tower) allows it to benefit from AI power demand, transmission, cooling and connectivity.
 - GLIN is fully AUD-hedged, reducing FX drag and volatility, relative to VBLD.
 - GLIN has 59.9% US concentration, compared to VBLD's 69.2%. GLIN has greater exposure to Australia, Europe, Rest of World relative to VBLD.
 - GLIN returned 9.7% over the past year versus VBLD's 7.5%, and its fee of 0.15%, which is less than one-third of VBLD's 0.47%, materially improving net portfolio outcomes.

International Shares – Dynamic ETF

Benchmark Review			Weight		US	EU	UK	China	Taiwan	Japan	India	Korea	Austral	Hong Ki	Canada	Brazil	South A	UAE	Singapore	Asia (In Mexico)	Other	
VGS	IEQ	MSCI World	0.85		73.7	12.6	3.3	0.5	0.0	5.5	0.0	0.0	2.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	2.4	
EEM	IEQ	MSCI Emerging Markets	0.15		0.6	3.4	0.0	28.6	20.1	0.0	15.3	12.3	0.0	0.0	0.0	4.4	3.4	6.0	0.0	3.7	2.1	
	IEQ	85% MSCI World, 15% MSCI Emerging Markets	1.00		62.7	11.2	2.8	4.7	3.0	4.7	2.3	1.8	1.7	0.0	0.0	0.7	0.5	0.9	0.0	0.6	0.3	
Current International Shares																						
APIR	Asset Class	Name	Weight	Fee	US	EU	UK	China	Taiwan	Japan	India	Korea	Austral	Hong Ki	Canada	Brazil	South A	UAE	Singapore	Asia (In Mexico)	Other	
IVV	IEQ	iShares S&P 500 ETF	0.39	0.04	100	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	
VEQ	IEQ	Vanguard FTSE Europe Shares ETF	0.21	0.35	0	77	23	0	0	0	0	0	0	0	0	0	0	0	0	0	0	
IJP	IEQ	iShares MSCI Japan ETF	0.05	0.5	0	0	0	0	0	100	0	0	0	0	0	0	0	0	0	0	0	
VGAD	IEQ	Vanguard MSCI Index International Shares (Hedg	0.2	0.21	74	13	3	0	0	6	0	0	0	0	3	0	0	0	0	0	1	
VAE	IEQ	Vanguard FTSE Asia Ex-Japan Shares Index ETF	0.15	0.4	0	0	0	41	21	0	18	12	0	0	0	0	0	0	0	0	8	
Current Regional Exposure					53.8	18.77	5.43	6.15	3.15	6.2	2.7	1.8	0	0	0.6	0	0	0	0	0	1.4	
85% MSCI World, 15% MSCI Emerging Markets					62.7	11.2	2.8	4.7	3.0	4.7	2.3	1.8	1.7	0.0	0.0	0.7	0.5	0.9	0.0	0.6	0.3	
Difference					1.00	0.22	-8.94	7.56	2.63	1.44	0.14	1.53	0.40	-0.05	-1.70	-0.00	0.60	-0.66	-0.51	-0.89	-0.65	
New International Shares																						
APIR	Asset Class	Name	Weight	Fee	US	EU	UK	China	Taiwan	Japan	India	Korea	Austral	Hong Ki	Canada	Brazil	South A	UAE	Singapore	Asia (In Mexico)	Other	
IVV	IEQ	iShares S&P 500 ETF	0.51	0.04	100	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	
VGAD	IEQ	Vanguard MSCI Index International Shares (Hedg	0	0.21	74	13	3	0	0	6	0	0	0	0	3	0	0	0	0	0	1	
VAE	IEQ	Vanguard FTSE Asia Ex-Japan Shares Index ETF	0.15	0.4	0	0	0	36	21	0	19	12	0	5	0	0	0	0	3	4	0	
VEQ	IEQ	Vanguard FTSE Europe Shares ETF	0.14	0.35	0	77	23	0	0	0	0	0	0	0	0	0	0	0	0	0	0	
IJP	IEQ	iShares MSCI Japan ETF	0.05	0.5	0	0	0	0	0	100	0	0	0	0	0	0	0	0	0	0	0	
VEU	IEQ	All Country ex US	0.05	0.09	0	30	8	10	6	15	5	3	5	0	4	1	1	2	1	1	7	
IHVV	IEQ	US Hedged	0.1	0.1	100	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	
Proposed Regional Exposure					61	12.28	3.62	5.9	3.45	5.75	3.1	1.95	0.25	0.75	0.2	0.05	0.05	0.1	0.5	0.65	0.05	0.35
85% MSCI World, 15% MSCI Emerging Markets					62.7	11.2	2.8	4.7	3.0	4.7	2.3	1.8	1.7	0.0	0.0	0.7	0.5	0.9	0.0	0.6	0.3	2.1
Difference					1.00	0.17	-1.74	1.07	0.82	1.19	0.44	1.08	0.80	0.10	-1.45	0.75	0.20	-0.61	-0.46	-0.79	0.50	0.09

- Developed Markets: New portfolio modestly U/W US, O/W Europe, UK, Japan
- Emerging Markets: New portfolio O/W China, Taiwan, India, Korea, Hong Kong
- New international equities dynamic portfolio fee drops from 22bps to 17bps
- New portfolio has better rolling returns, annual returns, volatility, drawdown over 1, 3, 5 years relative to current portfolio.

Floating Rate - Dynamic ETF

Current - Dynamic 70 ETF Portfolio						New - Dynamic 70 ETF Portfolio					
APIR	Asset C Name	Proposed Weigh	ETF Fee	Weighted Fee		APIR	Asset C Name	Proposed Weigh	ETF Fee	Weighted Fee	Recommendation
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						SUBD	FR	Aussie SUB Debt	3	0.29%	0.009 Add

- Given the phase out of Bank Hybrids, Atchison is removing (BHYB) BetaShares Australian Major Bank Hybrids Index ETF and replacing it with (SUBD) VanEck Australian Subordinated Debt ETF.
- Australian banks are phasing out listed hybrids due to APRA's new APS 110 and 111 rules make retail AT1 structures less viable. Capital raising has shifted to institutional AT1 and Tier 2 markets, so retail hybrids are no longer issued, and existing ones are steadily being redeemed.
- The reason for inclusion of SUBD, includes:
 - Higher capital protection than hybrids due to superior ranking in the capital structure.
 - SUBD provides strong income with materially lower structural conversion and loss-absorption risk than hybrids.
 - SUBD has extremely low duration, reducing sensitivity to interest-rate movements – the goal within the floating rate sleeve.
 - SUBD yields exceed senior bonds while avoiding hybrid-level downside volatility.
 - SUBD offers broader diversification across 36 issues versus BHYB's 18 hybrids.
 - SUBD benefits from investment-grade major-bank credit quality with lower price volatility.
 - SUBD has better performance and lower fees than the eventually phased out BHYB

Long Duration – Dynamic ETF

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APIR	Asset C Name	Proposed Weigh	ETF Fee	Weighted Fee		APIR	Asset C Name	Proposed Weigh	ETF Fee	Weighted Fee	Recommendation
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ILB	LD	iShares Government Inflation ETF	2	0.18%	0.004	ILB	LD	iShares Government Inflation ETF	0	0.18%	Remove

- Removal of (ILB) iShares Government Inflation ETF due to CFS minimum sizing requirements.
- Holdings were too small at the total portfolio level, particularly in growth portfolios (Active 85, Dynamic 85) where defensive allocations are limited.
- Reallocation of capital from the removal of ILB has been re-distributed into existing holdings.

Active Portfolio

- Rebalance as per Q4 Tactical Asset Allocation
- No removal or addition of active managers this quarter
- Full portfolio and sleeves will be updated over the coming days on the portal

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